

Scenario	Revenue Growth	EBIT Margin	Terminal Growth	WACC	Investment Interpretation
Bear Case	3.0%	10.0%	2.5%	10.0%	Telecom weakness and slower AI/network growth pressure valuation.
Base Case	4.0%	12.0%	3.0%	9.0%	Gradual AI infrastructure growth and margin improvement support moderate upside.
Bull Case	6.0%	16.0%	3.5%	8.0%	Strong AI infrastructure demand and margin expansion drive valuation rerating.

Key Observation

Nokia's recent rerating suggests investors are increasingly pricing in AI infrastructure growth, optical networking expansion, and improving profitability.

Core Assumptions

Revenue Growth	4%
EBIT Margin	12%
Tax Rate	20%
CapEx % Revenue	4%
D&A % Revenue	3%
NWC % Revenue	1%
WACC	9%
Terminal Growth	3.00%
Net Cash (€B)	5.5
Diluted Shares Outstanding (B)	5.6
Starting Revenue (€B)	24

DCF Forecast

	2025	2026	2027	2028	2029	2030	
Revenue	24	24.96	25.96	27.00	28.08		29.20
EBIT	2.88	3.00	3.12	3.24	3.37		3.50
NOPAT	2.304	2.40	2.49	2.59	2.70		2.80
D&A	0.72	0.75	0.78	0.81	0.84		0.88
CapEx	0.96	1.00	1.04	1.08	1.12		1.17
Change in NWC	0	0.01	0.01	0.01	0.01		0.01
Unlevered FCF	2.064	2.14	2.22	2.31	2.40		2.50
Discount Factor	0.92	0.84	0.77	0.71	0.65		0.60
Present Value	1.89	1.80	1.72	1.64	1.56		1.49

Valuation Output

PV of Forecast FCF (€B)	10.10
Terminal FCF (€B)	2.57
Terminal Value (€B)	42.92
PV of Terminal Value (€B)	25.59
Enterprise Value (€B)	35.69
Add Net Cash (€B)	5.50
Equity Value (€B)	41.19
Diluted Shares Outstanding (B)	5.60
Implied Value Per Share (€)	7.35